

Why startups fail

Bundle Academy · Core path · Level 1 · 3 min · Source document for NotebookLM video generation

The honest base rates, and what "most startups fail" should change about your behaviour.

WHAT THIS VIDEO MUST LAND

By the end the viewer should be able to state the argument below in their own words. It is one argument, not a list of tips. Every number is illustrative of published ranges, not a forecast of any specific investment.

- Roughly 9 in 10 eventually fail, mostly between years two and five.
- No market need and cash exhaustion dominate the post-mortems.
- Failure arrives quietly: thinning updates, insider bridges, silence.
- Size each position so a total loss is survivable.

THE ARGUMENT, IN ORDER

1 The survival curve

Narration: About 90% of startups fail eventually. Most of the dying happens between years two and five, once the first cheque runs out.

On screen: A curve over time. Shape matters more than precise values.

Hold: about 7 seconds

2 What actually kills them

Narration: Rarely a bad idea. Usually no market need, then running out of cash, then the founding team coming apart.

On screen: A bar chart measured in % of post-mortems citing it: No market need = 42 % of post-mortems citing it; Ran out of cash = 29 % of post-mortems citing it; Team problems = 23 % of post-mortems citing it; Out-competed = 19 % of post-mortems citing it; Pricing / model = 18 % of post-mortems citing it.

Hold: about 8 seconds

3 Failure is slow and quiet

Narration: Companies rarely announce it. They stop updating investors, miss a raise, and drift. Assume silence is information.

On screen: A timeline visual.

Hold: about 7 seconds

4 What to do about it

Narration: Behave as if every single holding will go to zero, and size each one so that outcome is survivable.

On screen: A stat visual.

Hold: about 6 seconds

THE SAME ARGUMENT IN PROSE

The headline is familiar: most startups fail. The useful version is more specific. Survival studies consistently show a steep drop between years two and five, once the money from the first serious round is spent and the company has to prove demand rather than promise it.

Post-mortems point at the same causes over and over. The largest single category is building something nobody urgently needed. Cash exhaustion is second, and it is usually a symptom of the first. Team breakdown is third and badly under-discussed.

For an investor, the practical consequence is not pessimism, it is process. You will not get a clean notification when a holding dies. You will notice the updates thinning out, then a flat or down round offered only to insiders, then nothing.

So size every position as if it is going to zero, keep enough positions that any one of them can, and treat a quiet founder as a data point rather than a scheduling problem.

tone and constraints

- **Never give advice.** Describe how the asset class behaves. Do not tell the viewer what to buy, how much to invest, or that anything is a good opportunity. No "you should", no "we recommend".
- **Do not invent numbers.** Use only the figures in this document. If a figure is not here, leave it out rather than estimating one.
- **Keep the risk honest.** Losing everything is the single most likely outcome for any one early-stage company. Never soften that, and never end on a purely upbeat note that contradicts it.
- **Plain English.** UK spelling. Expand any term the first time it appears. No hype words: no "unlock", "supercharge", "game-changing", "revolutionary".
- **Calm, factual delivery.** This is an explainer, not a pitch. No urgency, no countdowns, no scarcity.
- **No specific companies.** Do not name real companies as examples, and do not imply any listing is available or recommended.

BASIS OF THE FIGURES

Illustrative teaching figures drawn from published post-mortem and survival studies.

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